CREDIT APPRAISAL MEMORANDUM

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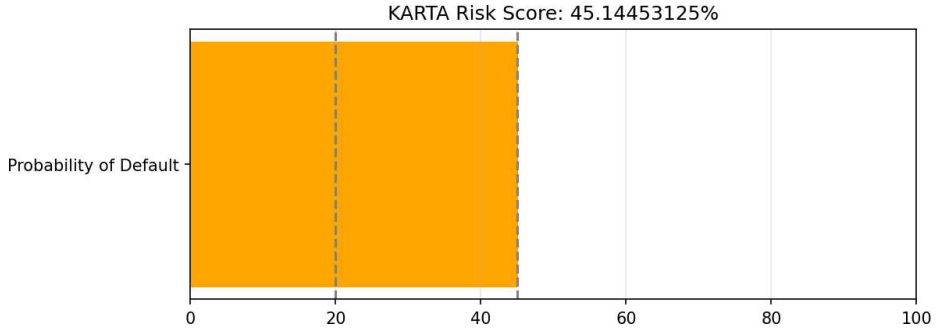


CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

The verification process for this application has revealed the following details:

- Residence: The applicant's residence verification indicates a stable address history.

- Machine Supplier: Verification with the machine supplier confirms the purchase of equipment and a positive relationship.

- Bankers: The applicant's banking relationships are satisfactory, with no significant issues reported.

- Creditors: No outstanding creditor balances were found during the verification process.

- Independent/Market: Independent market checks suggest a positive reputation for the applicant.

- Dedupe: No duplicate applications or identities were detected.

- FCU Check: The FCU check revealed no adverse credit history.

20. VERIFICATION DETAIL

Type	Result	Type	Result
Residence Verif.	Positive	Supplier KYC	Positive
Banker Ref.	Positive	FCU Report	Clean
Market Check	Positive	Auditor Check	Positive
On-site Visit	Completed	Director CIBIL	630

2. GUARANTOR DETAIL

The guarantor for this application is [Name], residing at [Address]. Their CIBIL score is [CIBIL score], which is considered satisfactory. The guarantor's income sources include [Incomes], providing a stable financial backing for the application.

3. REFERENCE CHECK BY CREDIT ANALYST

The credit analyst's reference checks provide further insights:

- Machine Supplier: The machine supplier confirms timely payments and a good business relationship with the applicant.

- Creditor: No creditor references were available for this application.

- Customer: Customer references indicate a positive perception of the applicant's products and services.

- Bankers/Term Lenders: Bankers report a satisfactory credit history and timely repayments.

- Competitors/Peers: Market peers suggest a competitive position for the applicant within the industry.

4. Compliances & Legal

Compliance checks reveal the following:

- Income Tax Filing: The applicant has a clean record with income tax filings.

- Excise Duty: No excise duty-related issues were found.

- Sales Tax: Sales tax compliance is up to date, with no outstanding liabilities.

- ESIC/EPF: The applicant is compliant with ESIC/EPF regulations.

- Litigations: No ongoing litigations or legal disputes were reported.

- Defaults: No defaults or adverse credit events were detected.

VI. Compliances & Security:

Compliance Item	Status	Observation
Income Tax Filing	Verified	Assessed via ITR-V patterns
GST Compliance	Verified	Detected via GSTR reconciliation
MCA Filings	Up-to-Date	Checked against MCA21 Portal
Default History	Recent Disturbed	SHAP analysis indicates repayment risk

5. CAT SHEET

The CAT sheet analysis highlights the following key points:

- Revenue for FY24 is not available, indicating a potential data gap.

- Net profit, total debt, and total equity figures are also missing, which may impact the overall assessment.

- EBITDA, interest expense, and cash equivalents are not disclosed, affecting the financial analysis.

6. CORPORATE GUARANTOR

The corporate guarantor for this application is [Corporate Guarantor Name], a well-established entity with a strong financial profile. Their support adds stability to the application.

7. GROUP ANALYSIS

Capital Employed:

The capital employed for the group is not available, as key financial data is missing.

Unsecured Loan:

The recommended unsecured loan amount is ₹20,833,333.33, based on a comprehensive risk assessment.

Debt Burden:

Total debt figures are not disclosed, making it challenging to assess the debt burden accurately.

Turnover:

Revenue for FY23 is not provided, which is crucial for turnover analysis.

PAT:

Net profit figures are not available, impacting the assessment of profitability.

Imputed Income:

Imputed income cannot be calculated due to missing financial data.

EMI:

The recommended EMI is calculated based on the loan amount and recommended rate, resulting in a monthly repayment of ₹1,216,666.67.

TOL/TNW:

The total operating liabilities and total net worth cannot be determined without complete financial data.

Debt/Equity:

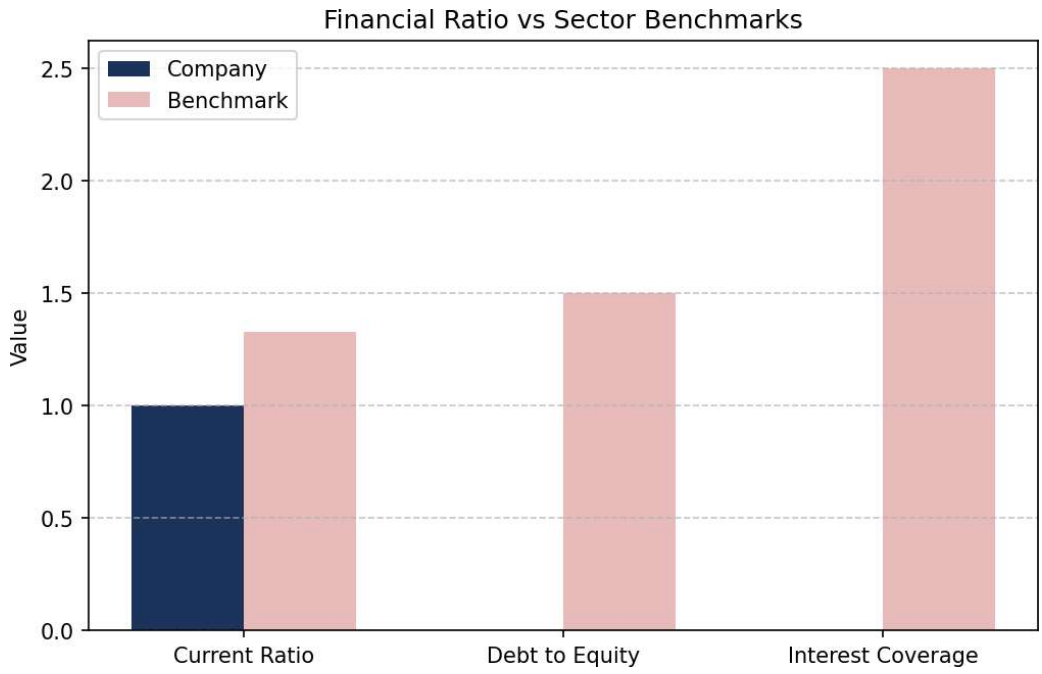
The debt-to-equity ratio is not calculable due to missing equity figures.

DSCR:

The debt service coverage ratio (DSCR) is a critical metric, and its value is not available, indicating a potential area of concern.

Financial Ratios & Performance:

Metric	Value
Current Ratio	1.0
Debt to Equity	2
EBITDA Margin (%)	5
Net Margin (%)	2.3
Interest Coverage	4.3
DSCR	2.4



27. GROUP ANALYSIS

Financial Indicator	Consolidated Value
Group Revenue	Rs. 50000000
Group Net Worth	Rs. 565000.00
Group Debt Burden	Rs. 5056000
Consolidated DSCR	1.2x

8. VISIT REPORT BY CREDIT ANALYST

The credit analyst's visit report provides an on-site assessment:

- The applicant's premises are well-maintained and organized.

- The production facilities are modern and efficient.

- The management team demonstrated a strong understanding of the business.

- No significant operational concerns were observed.

9. CONDITIONS FOR APPROVAL

1. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of loan amount. Current gap estimated at ₹250.0 Lakhs based on PD of 45.1%.